

REC Ltd (RECLTD)

Financials | Speciality Finance

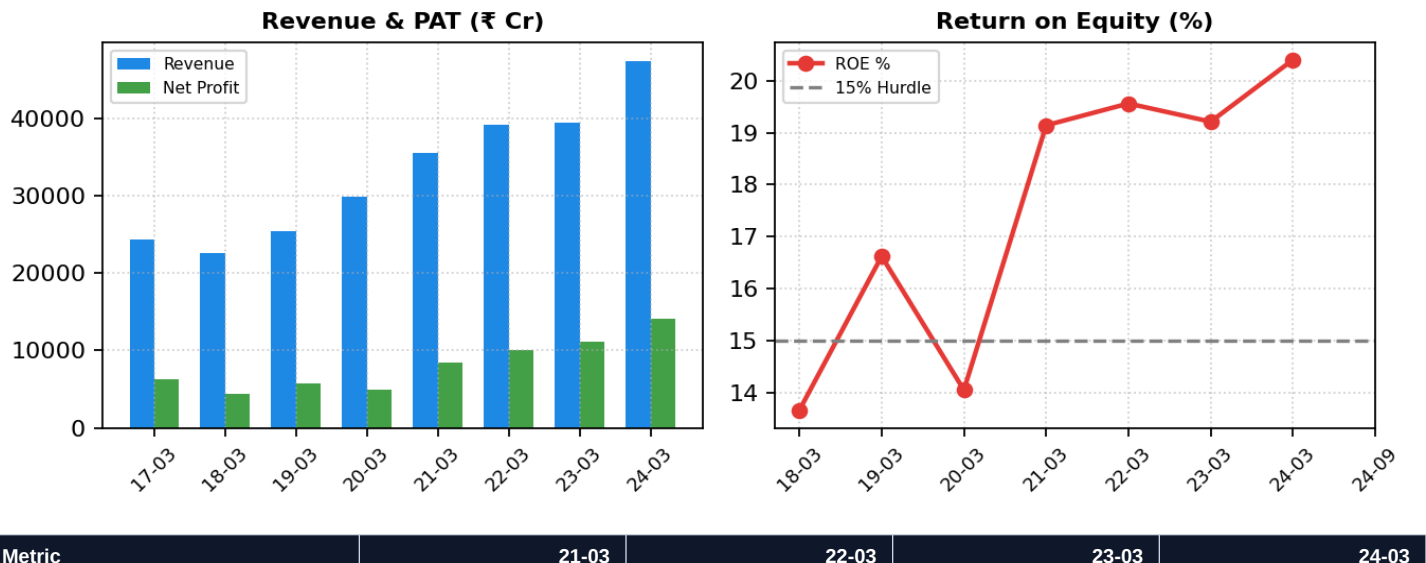
Health Score:
49.1/100

Nifty 100 Fundamental Intelligence

Business Profile: REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

Market Cap: ■291,917 Cr	P/E Ratio: 31.5x
Return on Equity: 20.4%	Debt / Equity: 6.42x
Free Cash Flow: ■-59,554 Cr	5Y Rev CAGR: 13.3%

Historical Performance & Return Ratios

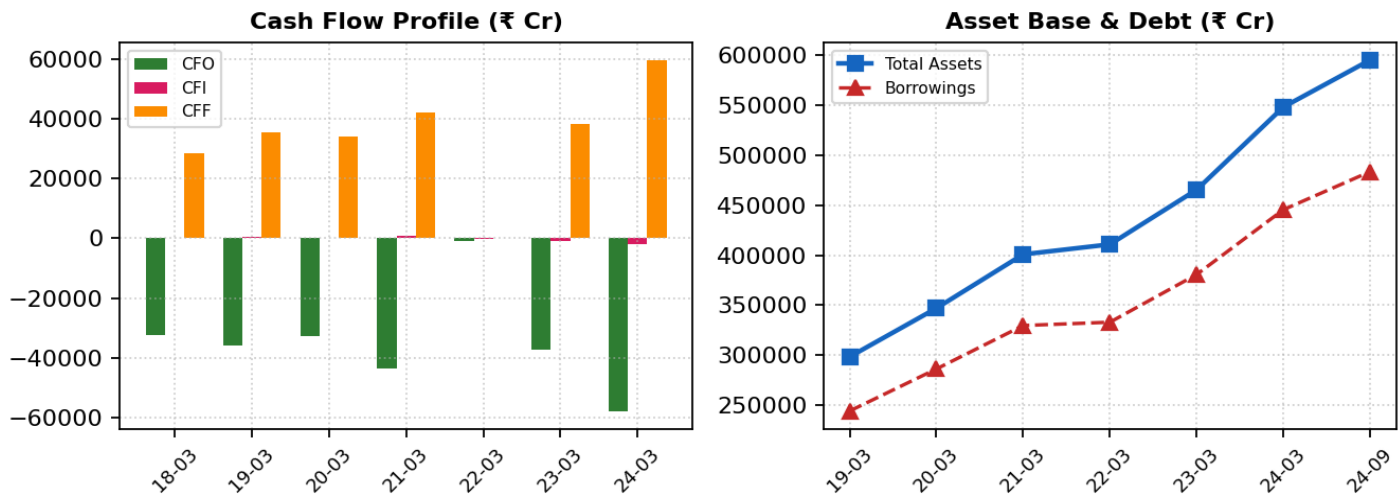


Metric	21-03	22-03	23-03	24-03
Revenue (■ Cr)	35,557	39,276	39,486	47,517
Operating Profit (■ Cr)	32,265	34,438	37,628	47,883
Net Profit (■ Cr)	8,378	10,036	11,167	14,145
EPS (■)	32.0	38.0	42.0	54.0

Financial Quality & Risk Intelligence — RECLTD

Capital Allocation Pattern: Distress / External Funding | CFO-to-PAT Quality: -4.08x

Cash Flow Dynamics & Solvency



Investment Strengths (Pros)

- Strengths: Robust Return on Equity of 20.4% indicates exceptional capital efficiency.
- Strengths: Strong bottom-line expansion with 5-year PAT CAGR of 19.8%.
- Strengths: Healthy operating margin of 100.8% reflects pricing power and moat.

Key Risks & Considerations (Cons)

- Risk Factor: Negative free cash flow of ₹59,554 Cr due to heavy CapEx or working capital drag.
- Risk Factor: Low cash conversion from net profit (CFO/PAT -4.08x) flags accrual risk.
- Risk Factor: Tight debt servicing capacity with interest coverage of 1.60x.